Every Transaction

A worked example of everything the system can post

Forty transactions, each with real figures, the screen you enter it on, and a picture of the journal entry it produces — taken from the system itself.

ERP Accounting | Double-entry | VAT at 15%

How to read this book

Every entry in this book follows the same three steps: **the example** — a real situation with real numbers; **how you enter it** — where to click; and **what it posts** — a photograph of the actual journal entry, taken from the system after doing exactly what the example describes.

The one rule behind all of it

Every entry has two sides and they are always equal. A **debit** increases something you own or something it cost you; a **credit** increases something you owe, something you own of the business, or something you earned. If the two sides did not agree the system would refuse to save it.

So when you look at any entry below, ask two questions: *what did the business get?* and *where did it come from?* The first is the debit, the second is the credit.

Some steps post nothing at all — on purpose

Quotations, sales orders, purchase orders, delivery notes and stock transfers are all marked **posts nothing**. That is not an omission. A promise to buy or sell is not a transaction, and moving your own goods between your own shelves does not change what they are worth. Recording those in the ledger would fill your accounts with things that had not happened yet.

The company used throughout is **Northwind Trading Co.**, a Riyadh furniture trader registered for VAT at 15%. It buys office chairs at SAR 300 and sells them at SAR 500.

Contents

1 Putting money in

Where the money to trade with comes from.

1 The owner puts money into the business

posts to the ledger

THE EXAMPLE

The owner transfers **SAR 500,000** of their own money into the company bank account to get it trading.

HOW YOU ENTER IT

1. **Journal Entries** → **Manual Entry**.
2. Debit the bank account 500,000; credit Owner’s Capital 500,000.
3. Save. The entry will not post unless the two sides agree.

IN ONE LINE

```
Bank +500,000
Owner’s Capital +500,000
```

WHAT IT POSTS

Journal Entry JE-0001

Date
02 Feb 2026

Reference
—

Description
Owner capital injection

Account	Debit	Credit
Main Bank Account	SAR500,000.00	–
Owner's Capital	–	SAR500,000.00

WHY

The business now has cash it did not earn. Cash is an asset, so it is debited. The other side is not income — the owner has not sold anything — it is a claim the owner has on the business, which is equity.

2 Buying

Everything from asking for something to paying for it.

2 Someone asks to buy something

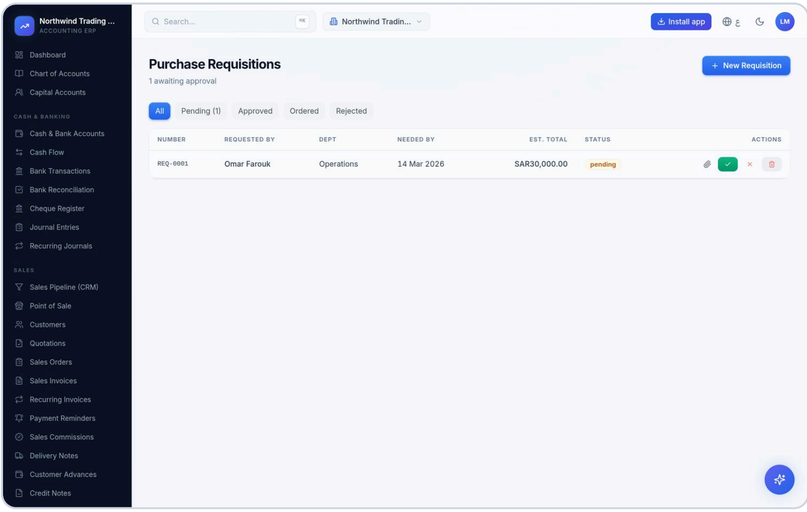
posts nothing

THE EXAMPLE

The storekeeper asks for **100 office chairs** at an estimated **SAR 300** each — SAR 30,000 — needed before the season.

HOW YOU ENTER IT

1. **Requisitions** → **New Requisition**.
2. Enter who is asking, what for, and by when.
3. A manager approves it; it can then be turned into a purchase order in one click.



The screen where this is entered

This step records a document but writes no journal entry.

WHY

Nothing has happened yet in accounting terms. An internal request is not a commitment to anyone outside the business, so there is nothing to record.

3 A supplier quotes you a price

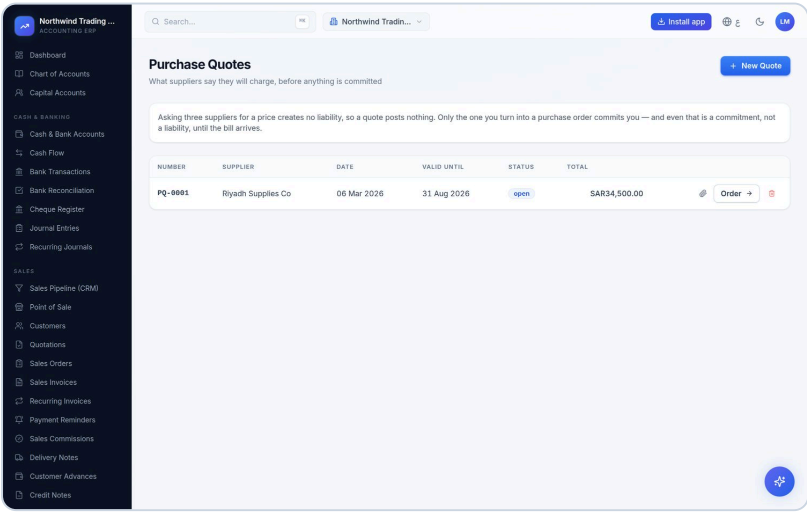
posts nothing

THE EXAMPLE

Riyadh Supplies Co quotes **SAR 300** a chair — SAR 30,000 plus VAT of SAR 4,500, so SAR 34,500 in total.

HOW YOU ENTER IT

1. **Purchase Quotes** → **New Quote**.
2. Record what each supplier offered, and until when it holds.
3. Convert the one you accept into a purchase order.



The screen where this is entered

This step records a document but writes no journal entry.

WHY

Still nothing to post. A price you have been offered is not an obligation until you accept it.

4 You commit to buy — the purchase order

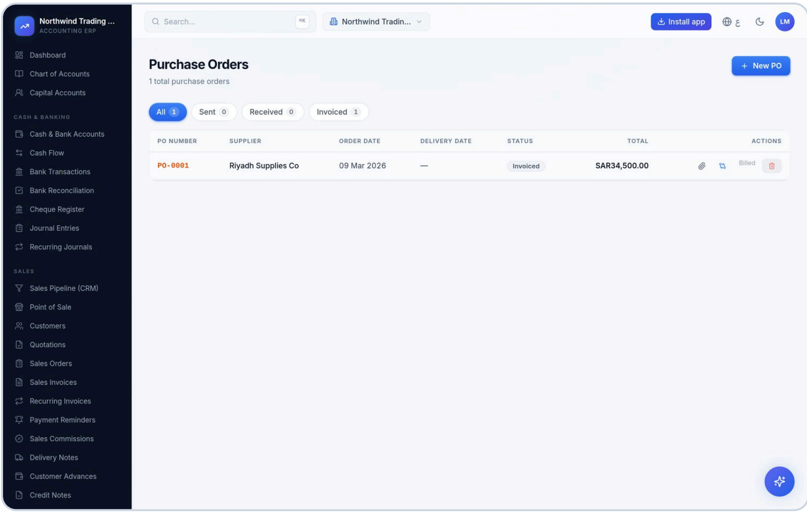
posts nothing

THE EXAMPLE

You accept the quote and raise **PO-0001** for 100 chairs at SAR 300, total SAR 34,500 including VAT.

HOW YOU ENTER IT

1. **Purchase Orders** → **New Purchase Order**.
2. Choose the supplier, add the lines, set the expected date.
3. Send it. The order tracks how much has been received and how much billed.



The screen where this is entered

This step records a document but writes no journal entry.

WHY

A purchase order is a promise to buy, not a purchase. Nothing has been delivered and nothing is owed yet, so the ledger stays still. This surprises people, but it is right: if you posted every order you raised, your payables would include things that may never arrive.

5 The goods arrive — before the bill does

posts to the ledger

THE EXAMPLE

All **100 chairs** turn up. The supplier's invoice is still in the post.

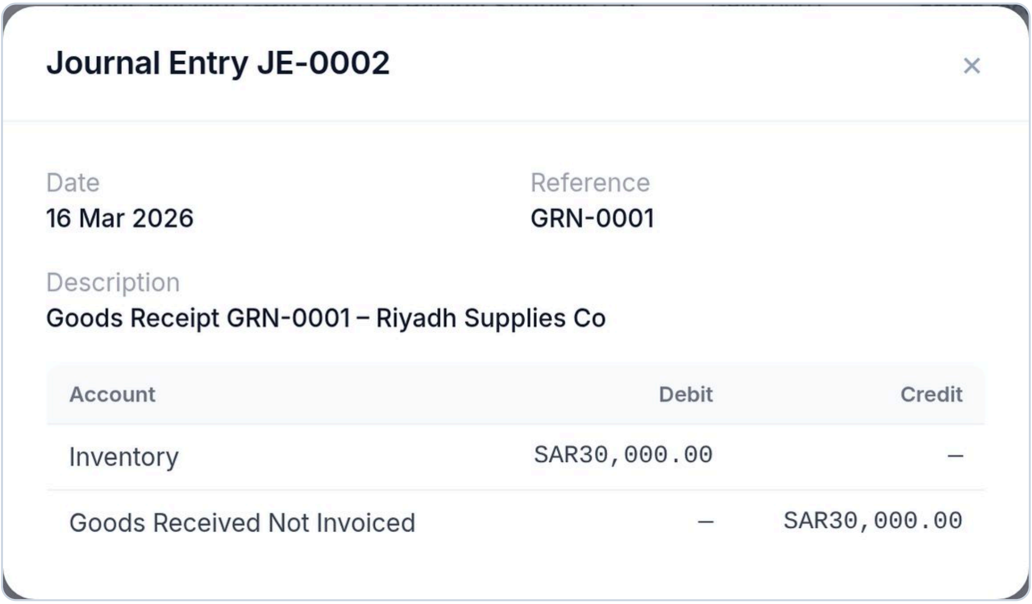
HOW YOU ENTER IT

1. Open the purchase order and choose **Receive goods**.
2. Confirm the quantities that actually arrived — in full or in part.
3. Stock goes up immediately.

IN ONE LINE

```
Inventory +30,000
GRNI +30,000 (a liability)
```

WHAT IT POSTS



Journal Entry JE-0002

Date
16 Mar 2026

Reference
GRN-0001

Description
Goods Receipt GRN-0001 – Riyadh Supplies Co

Account	Debit	Credit
Inventory	SAR30,000.00	–
Goods Received Not Invoiced	–	SAR30,000.00

WHY

You are holding SAR 30,000 of stock you have not been billed for. The stock is real, so Inventory is debited. The other side cannot be Accounts Payable, because no invoice exists to pay — it goes to **Goods Received Not Invoiced**, a liability that says "we owe someone for this, we just do not have the paperwork yet".

6 The bill arrives for goods already received

posts to the ledger

THE EXAMPLE

Riyadh Supplies invoices **SAR 34,500** — SAR 30,000 for the chairs plus SAR 4,500 VAT.

HOW YOU ENTER IT

1. Open the purchase order and choose **Bill received goods**.
2. The quantities already received are proposed for billing.
3. Save.

IN ONE LINE

```
GRNI cleared −30,000
Input VAT +4,500
Accounts Payable +34,500
```

WHAT IT POSTS

Journal Entry JE-0003

×

Date
19 Mar 2026

Reference
PUR-0001

Description
Purchase Invoice PUR-0001 – Riyadh Supplies Co

Account	Debit	Credit
Goods Received Not Invoiced	SAR30,000.00	–
Tax Receivable (Input)	SAR4,500.00	–
Accounts Payable	–	SAR34,500.00

WHY

This is the moment the paperwork catches up. The stock is already on the books from the receipt, so Inventory is **not** touched again — instead the GRNI liability is cleared and replaced by a real debt to the supplier. The VAT you were charged is recoverable, so it is debited to Tax Receivable rather than treated as a cost.

7 You pay the supplier

posts to the ledger

THE EXAMPLE

You pay the full **SAR 34,500** from the main bank account.

HOW YOU ENTER IT

1. Open the purchase invoice and choose **Record payment**.
2. Enter the date, the amount and which account it came out of.
3. Part payments are fine; the balance stays outstanding.

IN ONE LINE

```
Accounts Payable −34,500
Bank −34,500
```

WHAT IT POSTS

Journal Entry JE-0004

Date
18 Apr 2026

Reference
PAY-0001

Description
Payment PAY-0001 for PUR-0001

Account	Debit	Credit
Accounts Payable	SAR34,500.00	—
Main Bank Account	—	SAR34,500.00

WHY

Paying does not create a cost — the cost arrived with the bill. This only swaps one balance-sheet item for another: less cash, less debt.

8 Freight is added to what the stock cost you

posts to the ledger

THE EXAMPLE

DHL charges **SAR 2,000** to bring the chair shipment in. Spread over 100 chairs, that is SAR 20 a chair — so each chair now costs SAR 320, not SAR 300.

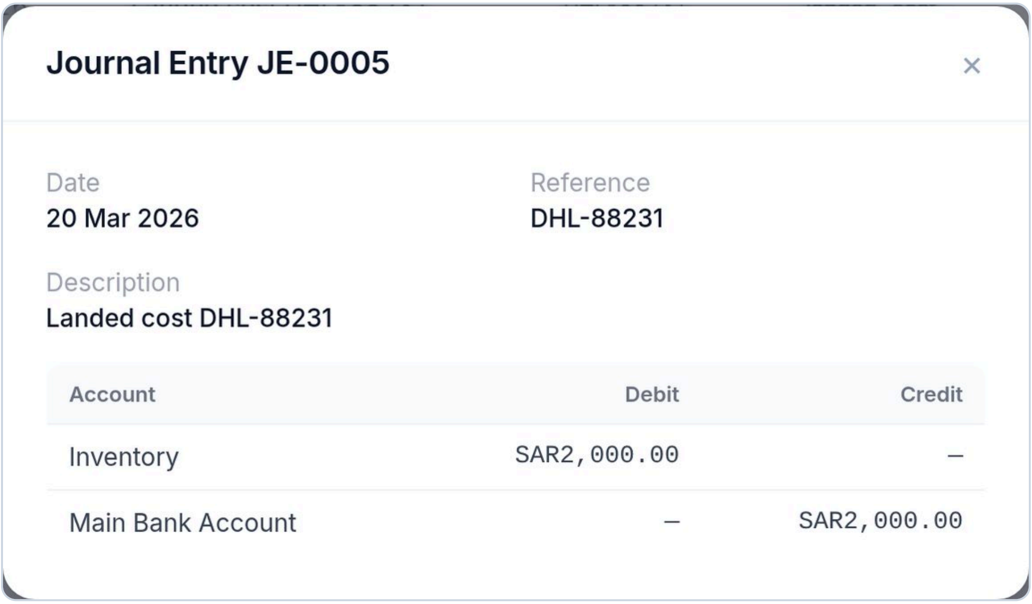
HOW YOU ENTER IT

1. **Landed Costs → New Landed Cost**.
2. Enter the amount and choose which shipment or items it belongs to.
3. Choose how to spread it — by value or by quantity — and post.

IN ONE LINE

```
Inventory +2,000
Bank −2,000
```

WHAT IT POSTS



Journal Entry JE-0005

Date: 20 Mar 2026

Reference: DHL-88231

Description: Landed cost DHL-88231

Account	Debit	Credit
Inventory	SAR2,000.00	–
Main Bank Account	–	SAR2,000.00

WHY

Freight is part of what the goods cost you, not a separate overhead. Capitalising it into Inventory means your gross margin tells the truth when you sell them. Book it as an expense instead and every chair looks SAR 20 more profitable than it is.

9 You send faulty goods back

posts to the ledger

THE EXAMPLE

Five chairs arrive damaged. You raise a debit note for **SAR 1,500** plus SAR 225 VAT — SAR 1,725 off what you owe.

HOW YOU ENTER IT

1. **Debit Notes → New Debit Note**.
2. Raise it against the original bill and enter what is going back.
3. Save.

IN ONE LINE

```
Accounts Payable −1,725
Purchase Returns 1,500
Input VAT −225
```

WHAT IT POSTS

Journal Entry JE-0006

×

Date
24 Mar 2026

Reference
DN-0001

Description
Debit Note DN-0001 – Riyadh Supplies Co

Account	Debit	Credit
Accounts Payable	SAR1,725.00	–
Purchase Returns	–	SAR1,500.00
Tax Receivable (Input)	–	SAR225.00

WHY

You owe the supplier less, so Accounts Payable is reduced. The VAT you reclaimed on those chairs has to go back too — you cannot recover tax on goods you returned.

3 Selling

From the first quote to the money in the bank.

10 You quote a customer a price

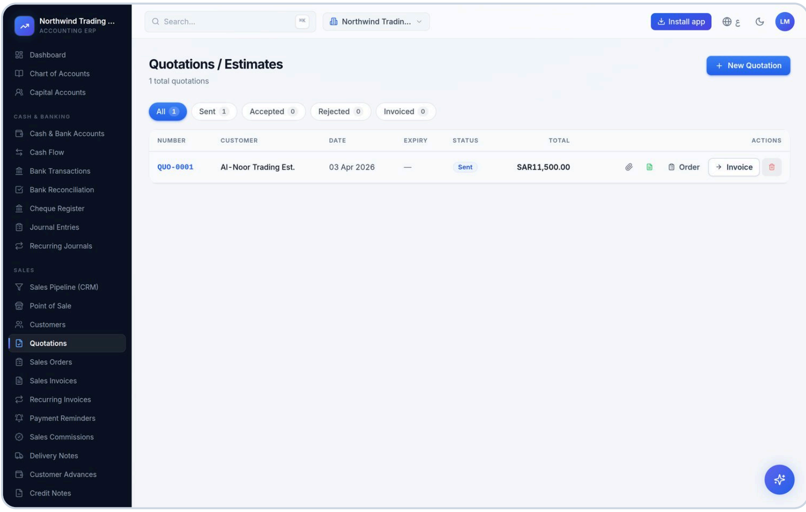
posts nothing

THE EXAMPLE

Al-Noor Trading asks for **20 chairs**. You quote **SAR 500** each — SAR 10,000 plus SAR 1,500 VAT, so SAR 11,500.

HOW YOU ENTER IT

1. **Quotations → New Quotation**.
2. Build it exactly as you would an invoice, and set how long it holds.
3. Send the PDF. If they accept, convert it rather than retyping it.



The screen where this is entered

This step records a document but writes no journal entry.

WHY

A quote is an offer. Nothing is owed and nothing has moved, so nothing posts.

11 The customer confirms — the sales order

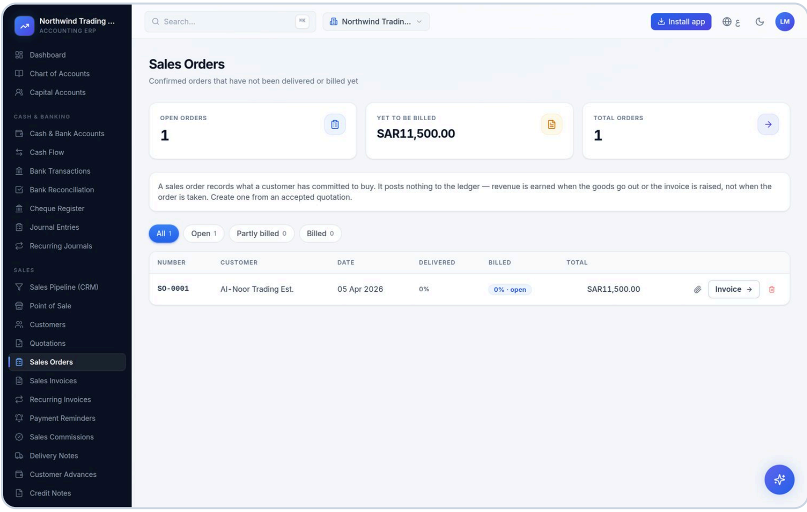
posts nothing

THE EXAMPLE

Al-Noor accepts. The quote becomes **SO-0001** for the same 20 chairs.

HOW YOU ENTER IT

1. Open the quotation and choose **Convert to sales order**.
2. The order tracks what has been delivered and what has been invoiced.



The screen where this is entered

This step records a document but writes no journal entry.

WHY

A confirmed order is still a promise. You have not delivered and you have not billed, so there is nothing to recognise. Revenue belongs to the moment you actually earn it.

12 The goods go out

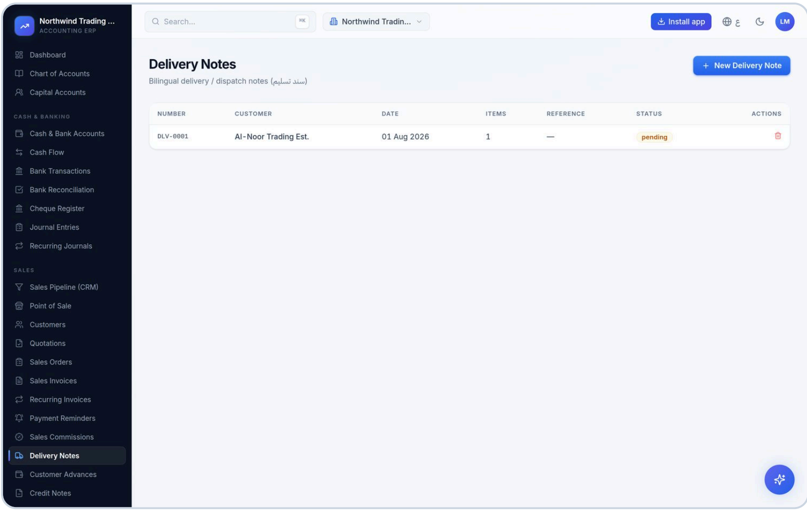
posts nothing

THE EXAMPLE

The 20 chairs leave the warehouse on a delivery note for the driver and the customer to sign.

HOW YOU ENTER IT

1. Open the sales order and choose **Convert to delivery note**.
2. Confirm the quantities going out. Print it for the driver.



The screen where this is entered

This step records a document but writes no journal entry.

WHY

In this system the cost of the goods is recognised with the invoice, not the delivery note — so the delivery note itself posts nothing. It is proof of despatch.

13 You invoice the customer

posts to the ledger

THE EXAMPLE

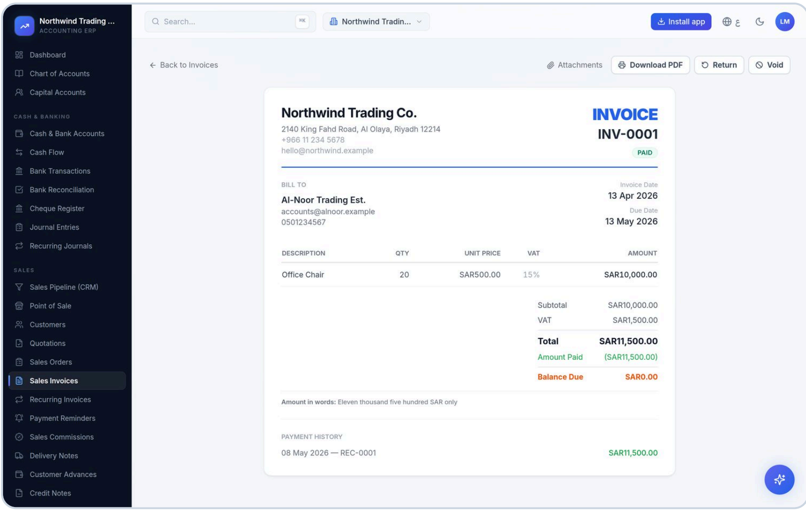
You bill the 20 chairs: **SAR 10,000** plus **SAR 1,500** VAT — **SAR 11,500**, due in 30 days. The chairs cost you SAR 320 each, so SAR 6,400 of stock goes with them.

HOW YOU ENTER IT

1. **Sales Invoices** → **New Invoice**, or convert the sales order.
2. Pick the customer, add the lines, check the due date.
3. Save, then send or print.

IN ONE LINE

```
Receivables +11,500
Sales 10,000
Output VAT 1,500
COGS 6,400
Inventory −6,400
```



The screen where this is entered

WHAT IT POSTS

Journal Entry JE-0007

Date
13 Apr 2026

Reference
INV-0001

Description
Sales Invoice INV-0001 – Al-Noor Trading Est.

Account	Debit	Credit
Accounts Receivable	SAR11,500.00	—
Sales Revenue	—	SAR10,000.00
Tax Payable (Output)	—	SAR1,500.00

Journal Entry JE-0008

Date
13 Apr 2026

Reference
INV-0001

Description
Cost of Sales – INV-0001

Account	Debit	Credit
Cost of Goods Sold	SAR6,400.00	–
Inventory	–	SAR6,400.00

WHY

This is the busiest moment in the system, and it writes **two** entries. The first records the sale: the customer owes you the full 11,500, of which 10,000 is yours and 1,500 is VAT you are collecting on the government's behalf — a liability, not income. The second records the cost of what you sold, moving 6,400 out of Inventory into Cost of Goods Sold. Because both post together, your gross profit is correct on any day you look, without a month-end stock calculation.

14 The customer pays

posts to the ledger

THE EXAMPLE

Al-Noor pays the full **SAR 11,500** into the bank.

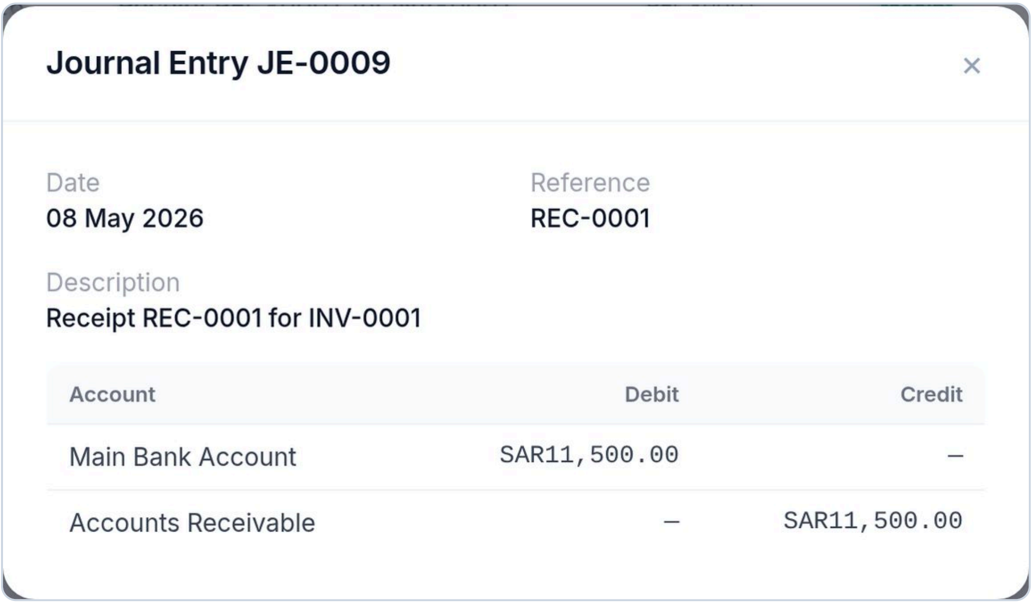
HOW YOU ENTER IT

1. Open the invoice and choose **Record payment**.
2. Enter the date, amount and receiving account.
3. Partial payments leave the balance outstanding and ageing.

IN ONE LINE

```
Bank +11,500
Receivables −11,500
```

WHAT IT POSTS



Journal Entry JE-0009

Date
08 May 2026

Reference
REC-0001

Description
Receipt REC-0001 for INV-0001

Account	Debit	Credit
Main Bank Account	SAR11,500.00	—
Accounts Receivable	—	SAR11,500.00

WHY

No revenue here — that was recognised when you invoiced. This only converts a promise into cash.

15 The customer returns two chairs

posts to the ledger

THE EXAMPLE

Two chairs come back. You credit **SAR 1,000** plus SAR 150 VAT — SAR 1,150.

HOW YOU ENTER IT

1. Open the invoice and choose **Return / refund**, or raise a standalone credit note.
2. Enter what is coming back.

IN ONE LINE

```
Sales Returns 1,000
Output VAT −150
Receivables −1,150
```

WHAT IT POSTS

Journal Entry JE-0010 ×

Date
13 May 2026

Reference
CN-0001

Description
Credit Note CN-0001 – Al-Noor Trading Est.

Account	Debit	Credit
Sales Returns & Allowances	SAR1,000.00	–
Tax Payable (Output)	SAR150.00	–
Accounts Receivable	–	SAR1,150.00

WHY

The customer owes you less. Note that the reduction goes to **Sales Returns** rather than being deducted from Sales — so you can still see what you sold and what came back, instead of one netted-off figure that hides the return rate.

16 A customer pays a deposit up front

posts to the ledger

THE EXAMPLE

Gulf Star pays **SAR 20,000** up front against a fit-out you have not started.

HOW YOU ENTER IT

1. **Customer Advances → Receive advance**.
2. Record it against the customer.
3. Apply it to an invoice when you raise one; refund the rest if the job dies.

IN ONE LINE

```
Bank +20,000
Customer Advances +20,000 (a liability)
```

WHAT IT POSTS

Journal Entry JE-0011

Date
18 May 2026

Reference
—

Description
Advance from Gulf Star LLC

Account	Debit	Credit
Main Bank Account	SAR20,000.00	–
Customer Advances	–	SAR20,000.00

WHY

You have the cash but you have not earned it. Treating it as revenue would overstate your profit and your VAT. It is held as a liability — you owe them either the work or their money back — until an invoice is raised against it.

4 Cheques

A cheque in the drawer is not money in the bank, and the system keeps that distinction.

17 A customer pays by post-dated cheque

posts to the ledger

THE EXAMPLE

Al-Noor hands over cheque **400218** for **SAR 8,000**, dated a month out.

HOW YOU ENTER IT

1. **Cheque Register → New Cheque**, direction *received*.
2. Enter the number, bank, amount and due date.

IN ONE LINE

```
Cheques Under Collection +8,000
Receivables −8,000
```

WHAT IT POSTS

Journal Entry JE-0012 ×

Date
23 May 2026

Reference
400218

Description
Cheque 400218 received from Al-Noor Trading Est.

Account	Debit	Credit
Cheques Under Collection	SAR8,000.00	—
Accounts Receivable	—	SAR8,000.00

WHY

The customer has settled their debt as far as they are concerned, so receivables come down. But you cannot spend a post-dated cheque — it is not in your bank. It sits in **Cheques Under Collection**, an asset of its own, shown separately on the balance sheet.

18 You deposit it at the bank

posts nothing

THE EXAMPLE

On the due date you lodge the cheque.

HOW YOU ENTER IT

1. Open the cheque and move it to **Deposited**.

This step records a document but writes no journal entry.

WHY

Nothing posts. The cheque has changed hands but not yet cleared — it is still the same asset, just in a different place. Recording bank credit now would be optimistic; cheques bounce.

---

19 The cheque clears

posts to the ledger

THE EXAMPLE

Three days later the funds land. **SAR 8,000** is now genuinely yours.

HOW YOU ENTER IT

1. Open the cheque and mark it **Cleared**.

IN ONE LINE

```
Bank +8,000
Cheques Under Collection −8,000
```

WHAT IT POSTS

Journal Entry JE-0013

×

Date
22 Jun 2026

Reference
400218

Description
Cheque 400218 cleared

Account	Debit	Credit
Main Bank Account	SAR8,000.00	–
Cheques Under Collection	–	SAR8,000.00

WHY

Only now does the bank balance move. This is why a cheque register exists: without it, your bank balance in the books runs ahead of the real one for weeks at a time.

5 Stock and production

Goods moving, goods lost, goods made.

20 Stock is damaged and written off

posts to the ledger

THE EXAMPLE

Three chairs are damaged in handling. At SAR 320 each that is **SAR 960** of stock gone.

HOW YOU ENTER IT

1. **Stock Adjustments** → **New Adjustment**.
2. Choose the item, the direction, the quantity and the reason.
3. It waits for approval — stock cannot be written off unnoticed.

IN ONE LINE

```
Inventory Adjustments 960
Inventory −960
```

WHAT IT POSTS

Journal Entry JE-0014 ×

Date
02 Jun 2026

Reference
ADJ-0001

Description
Stock Adj ADJ-0001 – Office Chair

Account	Debit	Credit
Inventory Adjustments	SAR960.00	–
Inventory	–	SAR960.00

WHY

The chairs no longer exist, so Inventory must come down. The loss has to land somewhere, and it is not cost of sale — you did not sell them. It goes to Inventory Adjustments, where it can be seen and questioned.

21 Stock moves between your own warehouses

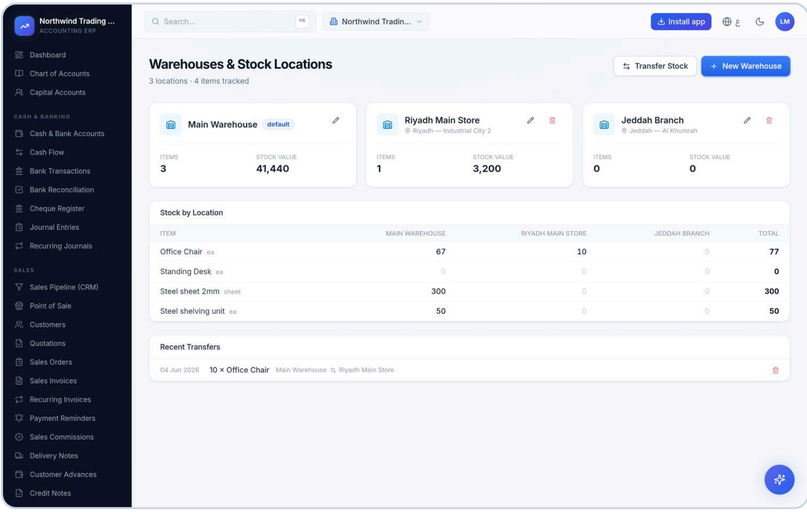
posts nothing

THE EXAMPLE

Ten chairs go from the Riyadh store to the Jeddah branch for display.

HOW YOU ENTER IT

1. **Warehouses → Transfer stock**.
2. Choose the item, the two locations and the quantity.



The screen where this is entered

This step records a document but writes no journal entry.

WHY

Nothing posts, and that is the point. Moving your own goods from one shelf to another changes where they are, not what they are worth. Total inventory value is unchanged, so the ledger has nothing to say.

22 You buy raw materials

posts to the ledger

THE EXAMPLE

Jeddah Import House supplies **500 steel sheets** at SAR 40 — SAR 20,000 plus SAR 3,000 VAT.

HOW YOU ENTER IT

1. **Purchase Invoices → New Purchase**.
2. Point the line at **Raw Materials** rather than Inventory.

IN ONE LINE

```
Raw Materials +20,000
Input VAT +3,000
Payables +23,000
```

WHAT IT POSTS

Journal Entry JE-0015

Date
06 Jun 2026

Reference
PUR-0002

Description
Purchase Invoice PUR-0002 – Jeddah Import House

Account	Debit	Credit
Raw Materials	SAR20,000.00	–
Tax Receivable (Input)	SAR3,000.00	–
Accounts Payable	–	SAR23,000.00

WHY

Raw materials are held separately from goods you bought to resell, because they are on a different journey: they will be consumed into production rather than sold as they are.

23 You make 50 shelving units

posts to the ledger

THE EXAMPLE

Each unit takes **4 steel sheets** at SAR 40 — SAR 160 a unit, **SAR 8,000** for the run of 50.

HOW YOU ENTER IT

1. **Manufacturing** — define the bill of materials, then raise a work order for a quantity.
2. Mark it complete when the run is finished.

IN ONE LINE

```
Raw Materials −8,000 → WIP
WIP −8,000 → Finished Goods
```

WHAT IT POSTS

Journal Entry JE-0016

×

Date
12 Jun 2026

Reference
WO-0001

Description
Work Order WO-0001 – Issue Materials

Account	Debit	Credit
Work-in-Progress	SAR8,000.00	—
Raw Materials	—	SAR8,000.00

Journal Entry JE-0017

×

Date
12 Jun 2026

Reference
WO-0001

Description
Work Order WO-0001 – Finished Goods

Account	Debit	Credit
Finished Goods	SAR8,000.00	—
Work-in-Progress	—	SAR8,000.00

WHY

Making something is two movements, and the system writes both. First the steel is consumed: it stops being raw material and becomes work in progress. Then the run completes and the whole accumulated cost becomes finished goods, ready to sell at a known cost. Value is never created or destroyed here — it only changes form.

6 Banking

Money moving with no invoice behind it.

24 You pay a bill that has no invoice

posts to the ledger

THE EXAMPLE

The electricity bill is **SAR 1,800**, paid straight from the bank.

HOW YOU ENTER IT

1. **Bank Transactions** → **Money out**.
2. Choose the bank account, the amount, and the expense it belongs to.

IN ONE LINE

```
Utilities 1,800
Bank −1,800
```

WHAT IT POSTS

Journal Entry JE-0018 ×

Date
17 Jun 2026

Reference
—

Description
Electricity — SEC

Account	Debit	Credit
Utilities	SAR1,800.00	–
Main Bank Account	–	SAR1,800.00

WHY

Not every cost arrives as a supplier invoice. This is the short path for costs you pay as they happen — one step instead of raising a bill and then paying it.

25 You top up the petty cash tin

posts to the ledger

THE EXAMPLE

SAR 5,000 moves from the bank to cash on hand.

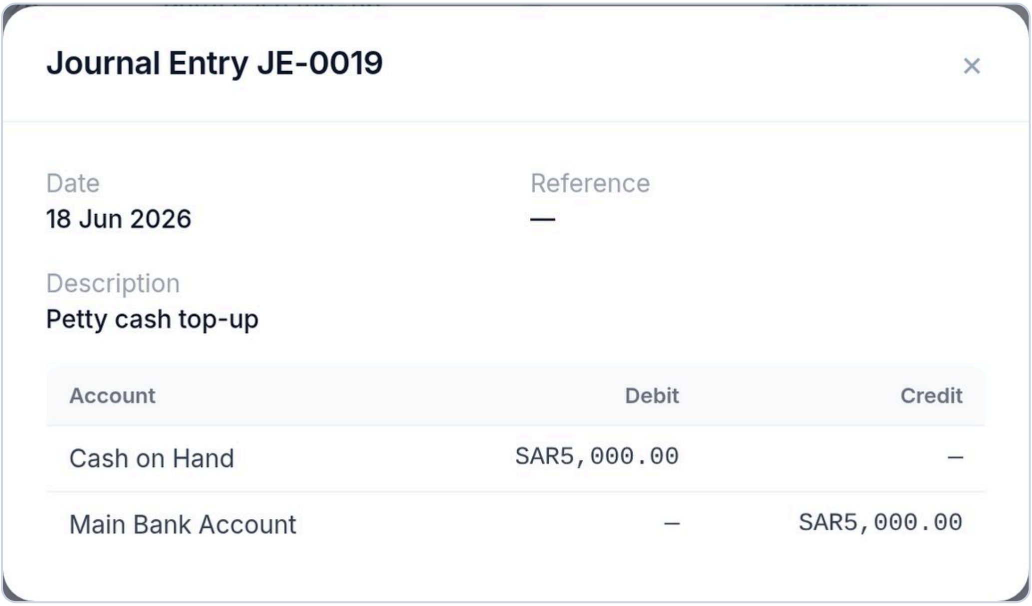
HOW YOU ENTER IT

1. **Cash Flow → Transfer**.
2. Choose the two accounts, the amount, and any bank fee.

IN ONE LINE

```
Cash on Hand +5,000
Bank −5,000
```

WHAT IT POSTS



Journal Entry JE-0019

Date
18 Jun 2026

Reference
—

Description
Petty cash top-up

Account	Debit	Credit
Cash on Hand	SAR5,000.00	–
Main Bank Account	–	SAR5,000.00

WHY

Moving your own money between your own accounts is not income or expense. Both sides are assets — one goes up, the other goes down, and the business is no richer or poorer. Any bank fee *is* a real cost and is posted separately.

7 Costs that belong to more than one month

Paying now for something you will use later.

26 You pay a year of insurance up front

posts to the ledger

THE EXAMPLE

SAR 24,000 for twelve months of cover — SAR 2,000 a month.

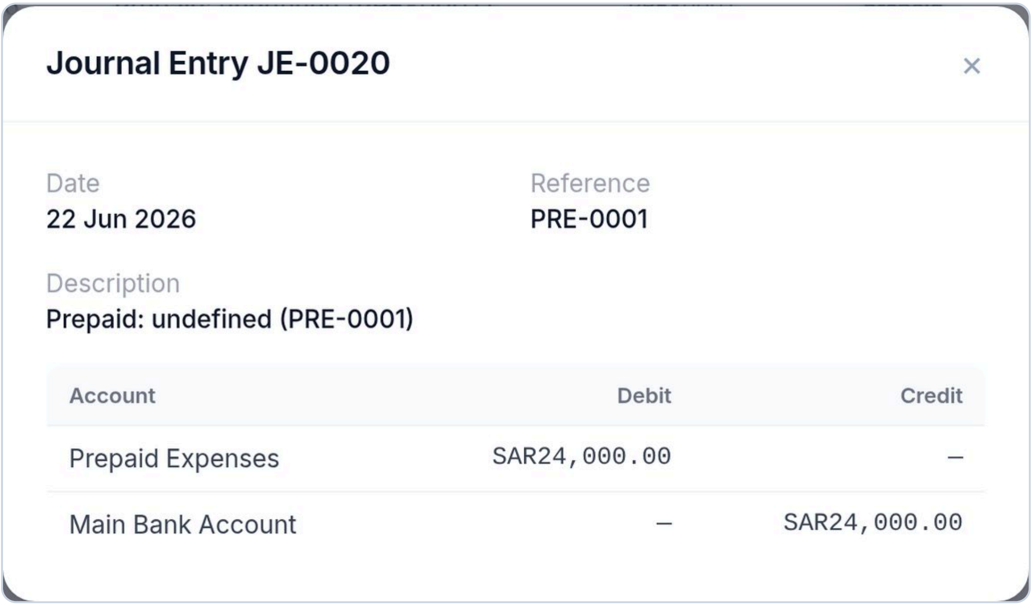
HOW YOU ENTER IT

1. **Prepaid Expenses** → **New Prepaid**.
2. Enter the amount, the start date and the number of months.

IN ONE LINE

```
Prepaid Expenses +24,000
Bank −24,000
```

WHAT IT POSTS



Journal Entry JE-0020

Date
22 Jun 2026

Reference
PRE-0001

Description
Prepaid: undefined (PRE-0001)

Account	Debit	Credit
Prepaid Expenses	SAR24,000.00	–
Main Bank Account	–	SAR24,000.00

WHY

The money has gone, but eleven months of cover is still owed to you — that is an asset, not a cost. Expensing all 24,000 now would wreck this month's profit and flatter the next eleven.

27 One month of that insurance is used up

posts to the ledger

THE EXAMPLE

At month end, **SAR 2,000** of the cover has been consumed.

HOW YOU ENTER IT

1. Open the prepaid expense and release the month, or let the month-end routine do it.

IN ONE LINE

```
General & Administrative 2,000
Prepaid Expenses −2,000
```

WHAT IT POSTS

Journal Entry JE-0021

×

Date
31 Jul 2026

Reference
PRE-0001

Description
Amortize Prepaid: undefined (Jul 2026)

Account	Debit	Credit
General & Administrative	SAR2,000.00	—
Prepaid Expenses	—	SAR2,000.00

WHY

This is the cost finally arriving, in the month it belongs to. Repeat it twelve times and the asset is gone and the full 24,000 has been charged — evenly, where it was earned.

28 You register a lease

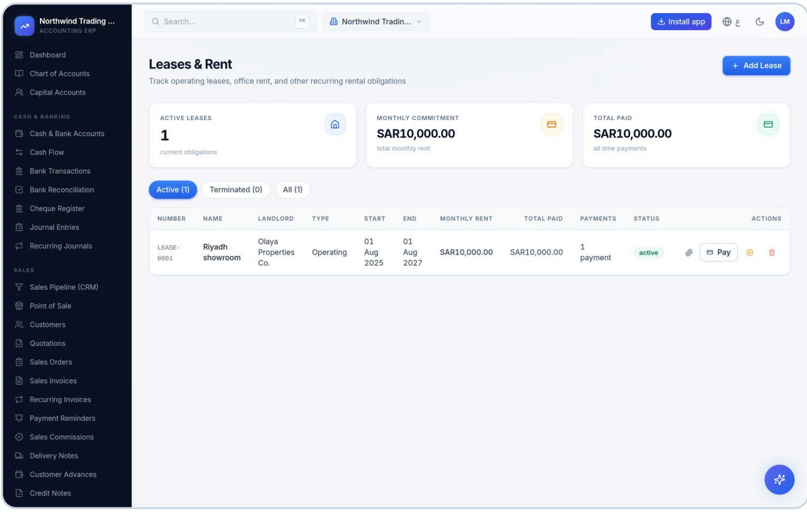
posts nothing

THE EXAMPLE

A one-year lease on the Riyadh showroom at **SAR 10,000** a month, from Olaya Properties.

HOW YOU ENTER IT

1. **Leases & Rent** → **New Lease**.
2. Enter the landlord, the term, the monthly rent and which account the rent belongs to.



The screen where this is entered

This step records a document but writes no journal entry.

WHY

Recording the agreement posts nothing — signing a lease is not a transaction. An operating lease is recognised as each month is used, which is the next entry.

29 You pay a month's rent

posts to the ledger

THE EXAMPLE

The Riyadh showroom costs **SAR 10,000** a month.

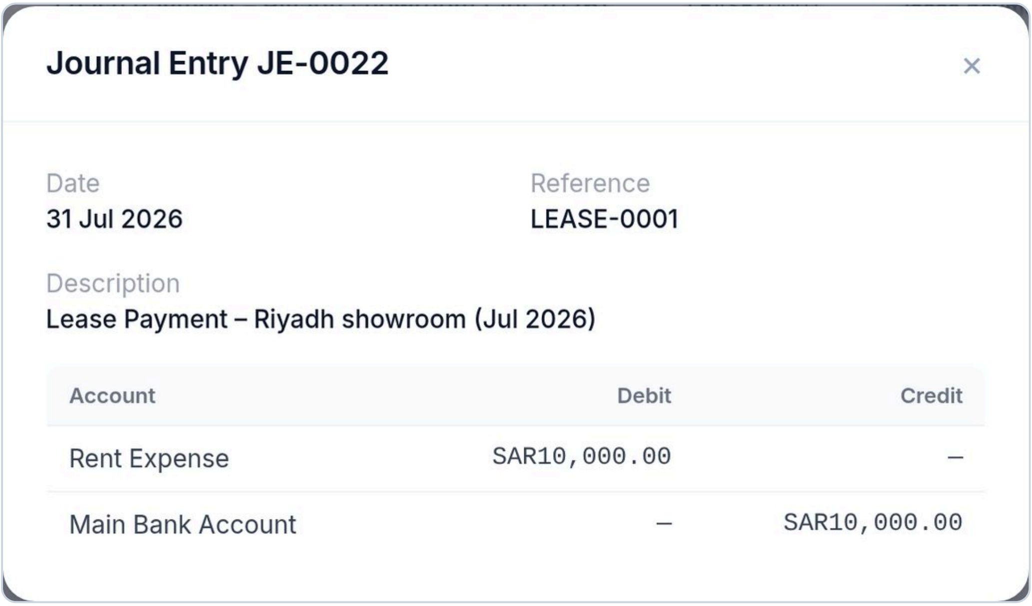
HOW YOU ENTER IT

1. **Leases & Rent** — record the lease once, then record each payment against it.

IN ONE LINE

```
Rent Expense 10,000
Bank −10,000
```

WHAT IT POSTS



Journal Entry JE-0022

Date
31 Jul 2026

Reference
LEASE-0001

Description
Lease Payment – Riyadh showroom (Jul 2026)

Account	Debit	Credit
Rent Expense	SAR10,000.00	–
Main Bank Account	–	SAR10,000.00

WHY

Rent is consumed in the month it covers, so unlike the insurance above there is nothing to spread forward.

30 An employee claims back what they spent

posts to the ledger

THE EXAMPLE

Yusuf spent **SAR 1,200** on flights and taxis visiting a client in Jeddah.

HOW YOU ENTER IT

1. **Expense Claims → New Claim** — category, amount, receipt.
2. A manager approves it.
3. Pay it, and the reimbursement goes out.

IN ONE LINE

```
G&A 1,200 → owed to employee
then Bank −1,200
```

WHAT IT POSTS

Journal Entry JE-0023

Date
02 Jul 2026

Reference
EXP-0001

Description
Expense Claim Approved: EXP-0001 – Yusuf Haddad

Account	Debit	Credit
General & Administrative	SAR1,200.00	–
Employee Expense Claims	–	SAR1,200.00

Journal Entry JE-0024

Date
04 Jul 2026

Reference
EXP-0001

Description
Expense Claim Paid: EXP-0001 – Yusuf Haddad

Account	Debit	Credit
Employee Expense Claims	SAR1,200.00	–
Main Bank Account	–	SAR1,200.00

WHY

Two entries, deliberately separated. Approving the claim recognises the cost and creates a debt to the employee — the business incurred it whether or not it has paid yet. Paying then settles that debt. Keeping them apart means an approved-but-unpaid claim shows up as money you owe.

8 Fixed assets

Things you buy to use, not to sell.

31 You buy a delivery van

posts to the ledger

THE EXAMPLE

A Toyota Hiace for **SAR 120,000**, expected to last **8 years** and be worth **SAR 24,000** at the end.

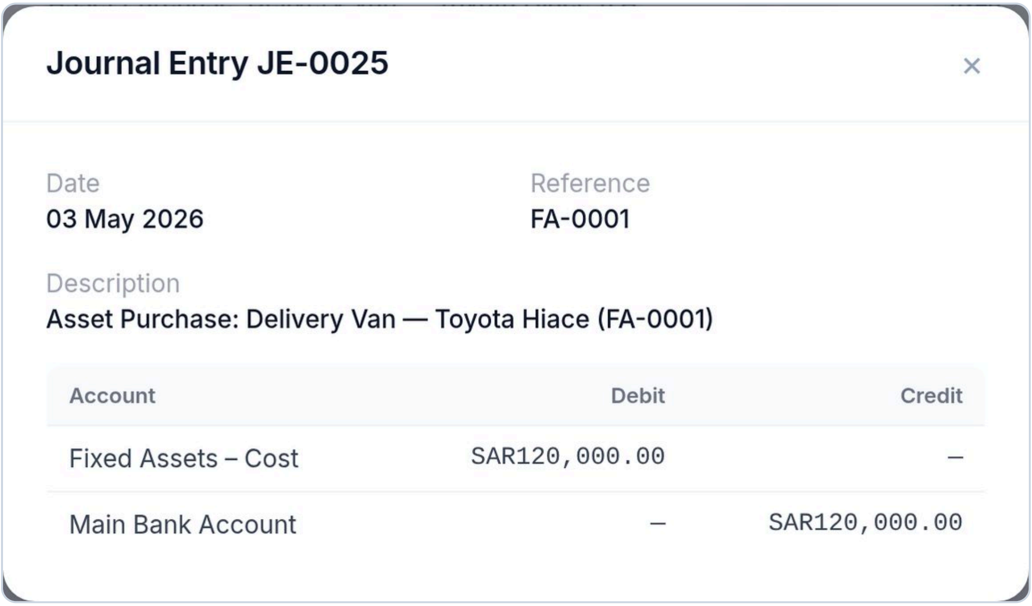
HOW YOU ENTER IT

1. **Fixed Assets** → **Add Asset**.
2. Enter cost, expected life, salvage value and depreciation method.

IN ONE LINE

```
Fixed Assets – Cost +120,000
Bank −120,000
```

WHAT IT POSTS



Journal Entry JE-0025

Date
03 May 2026

Reference
FA-0001

Description
Asset Purchase: Delivery Van — Toyota Hiace (FA-0001)

Account	Debit	Credit
Fixed Assets – Cost	SAR120,000.00	–
Main Bank Account	–	SAR120,000.00

WHY

Buying a van is not an expense. You have swapped SAR 120,000 of cash for SAR 120,000 of van — the business is exactly as wealthy as it was. The cost is recognised gradually, over the years the van is actually used.

32 A month of depreciation is charged

posts to the ledger

THE EXAMPLE

(120,000 − 24,000) ÷ 8 years ÷ 12 months = **SAR 1,000** a month.

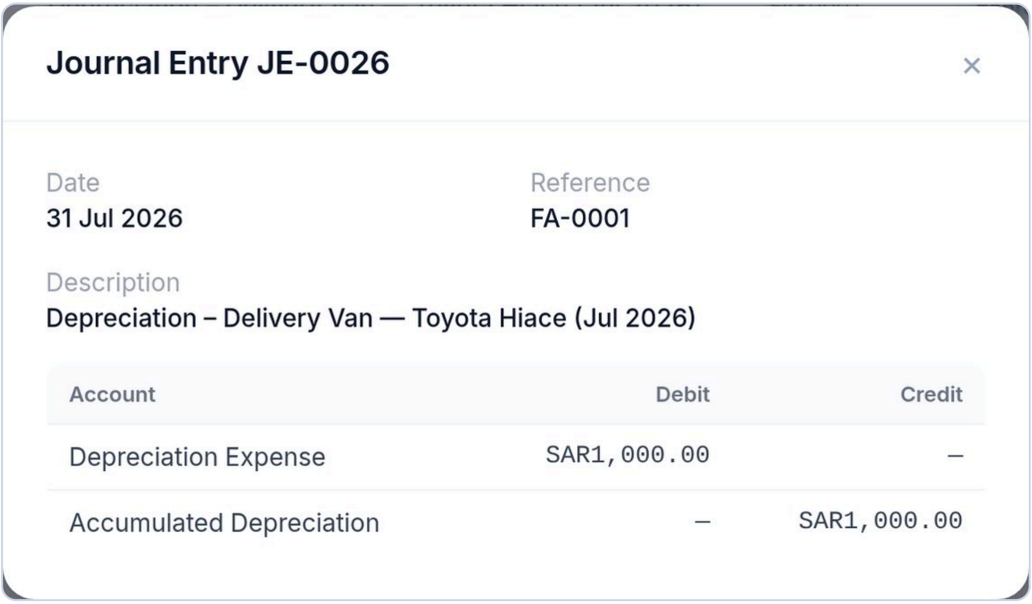
HOW YOU ENTER IT

1. **Fixed Assets** → **Run Depreciation**.
2. Preview first — it shows every asset and what each will post.
3. Post. All assets are handled in one entry.

IN ONE LINE

```
Depreciation Expense 1,000
Accumulated Depreciation 1,000
```

WHAT IT POSTS



Journal Entry JE-0026

Date
31 Jul 2026

Reference
FA-0001

Description
Depreciation – Delivery Van — Toyota Hiace (Jul 2026)

Account	Debit	Credit
Depreciation Expense	SAR1,000.00	–
Accumulated Depreciation	–	SAR1,000.00

WHY

This is the van being used up, a month at a time. The cost is never written off the asset directly: it accumulates in a separate account, so the balance sheet keeps showing what the van cost *and* how much of it has been consumed.

33 You sell an old printer for more than it is worth on paper

posts to the ledger

THE EXAMPLE

A printer that cost **SAR 6,000** has **SAR 5,500** of accumulated depreciation, so its book value is **SAR 500**. You sell it for **SAR 1,000**.

HOW YOU ENTER IT

1. Open the asset and choose **Dispose**.
2. Enter the date and the proceeds.

IN ONE LINE

```
Cost −6,000
Accumulated Depreciation −5,500
Bank +1,000
Gain on Disposal 500
```

WHAT IT POSTS

Journal Entry JE-0029

×

Date
12 Jul 2026

Reference
FA-0002

Description
Asset Disposal: Office Printer (FA-0002)

Account	Debit	Credit
Fixed Assets – Cost	–	SAR6,000.00
Accumulated Depreciation	SAR5,500.00	–
Main Bank Account	SAR1,000.00	–
Gain on Asset Disposal	–	SAR500.00

WHY

Four things happen at once: the cost comes off, the accumulated depreciation comes off with it, the cash comes in — and whatever is left over is the gain. Selling for 1,000 something the books valued at 500 is a SAR 500 gain, and the system works it out rather than asking you to.

9 Payroll

Paying people, and getting money back from them.

34 You lend an employee money against salary

posts to the ledger

THE EXAMPLE

Yusuf needs **SAR 3,000** for school fees, to come back at **SAR 1,000** a month.

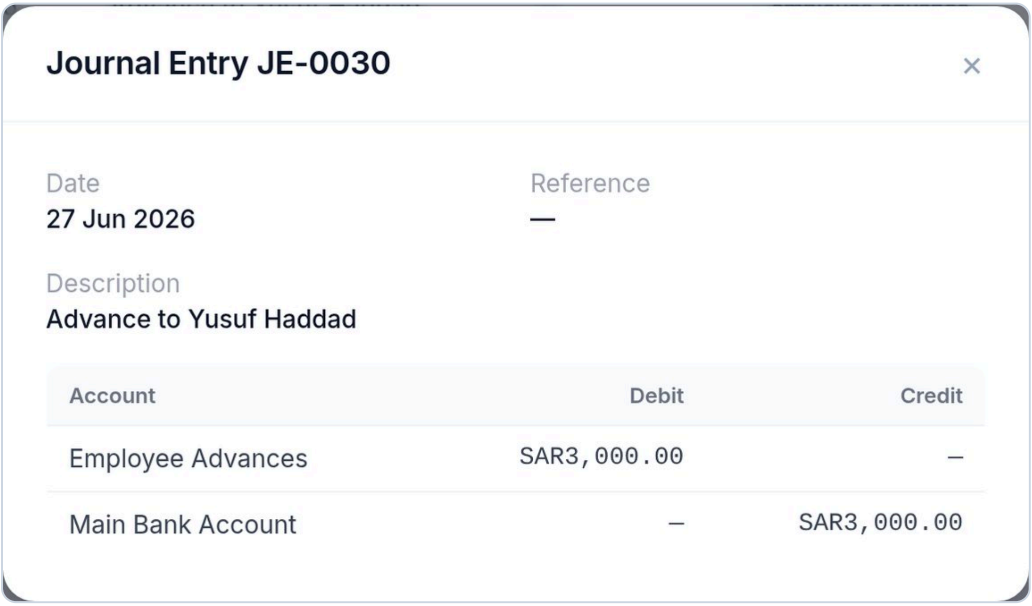
HOW YOU ENTER IT

1. **Employee Advances** → **Issue advance**.
2. Set the amount and how much to deduct each payroll.

IN ONE LINE

```
Employee Advances +3,000
Bank −3,000
```

WHAT IT POSTS



Journal Entry JE-0030

Date
27 Jun 2026

Reference
—

Description
Advance to Yusuf Haddad

Account	Debit	Credit
Employee Advances	SAR3,000.00	–
Main Bank Account	–	SAR3,000.00

WHY

Lending money is not a payroll cost. You expect it back, so it is an asset — a receivable from the employee — exactly like a customer owing you.

35 You run payroll for the month

posts to the ledger

THE EXAMPLE

Yusuf earns **SAR 11,000** gross. GOSI takes SAR 975 from him, SAR 1,000 comes off his advance, and **SAR 9,025** is left to pay. The company also owes SAR 1,175 of employer GOSI on top.

HOW YOU ENTER IT

1. **Payroll → Run Payroll**, choose the month.
2. Check the grid — pay comes from the contract, absence and overtime from attendance, and the advance instalment fills itself in.
3. **Create**, then **Process**.

IN ONE LINE

```
Salaries 11,000 + Employer GOSI 1,175
Net owed 9,025
GOSI payable 2,150
Advance recovered 1,000
```

WHAT IT POSTS

Journal Entry JE-0031

Date
31 Jul 2026

Reference
PR-0001

Description
Payroll Run PR-0001 – Jul 2026

Account	Debit	Credit
Salaries & Wages	SAR11,000.00	–
Salaries Payable	–	SAR9,025.00
Social Security Payable	–	SAR975.00
Employee Advances	–	SAR1,000.00
Employer Social Insurance (GOSI)	SAR1,175.00	–
Social Security Payable	–	SAR1,175.00

WHY

One entry does a lot. The full gross of 11,000 is the cost of employing him — deductions do not reduce it, they only decide where the money goes. What is withheld is not yours: GOSI is owed to the authority, and the 1,000 of advance recovery reduces the asset he owed you. Employer GOSI is an extra cost on top of gross, not a deduction from it.

36 You pay the staff

posts to the ledger

THE EXAMPLE

SAR 9,025 leaves the bank on pay day.

HOW YOU ENTER IT

1. Open the processed run and choose **Pay**.

IN ONE LINE

```
Salaries Payable −9,025
Bank −9,025
```

WHAT IT POSTS

Journal Entry JE-0032

Date
31 Jul 2026

Reference
PR-0001

Description
Payroll Payment PR-0001

Account	Debit	Credit
Salaries Payable	SAR9,025.00	—
Main Bank Account	—	SAR9,025.00

WHY

The cost belonged to the month worked; the cash leaves whenever it leaves. Separating the two is what lets you close a month before the transfer has cleared.

37 An advance you will never get back

posts to the ledger

THE EXAMPLE

Another employee left without notice owing **SAR 800**.

HOW YOU ENTER IT

1. Open the advance and choose **Write off**.
2. Choose which cost account it should hit and give a reason.

IN ONE LINE

```
Staff Costs 800
Employee Advances −800
```

WHAT IT POSTS

Journal Entry JE-0033

Date
07 Jul 2026

Reference
—

Description
Advance to Yusuf Haddad

Account	Debit	Credit
Employee Advances	SAR800.00	–
Main Bank Account	–	SAR800.00

Journal Entry JE-0034

Date
22 Jul 2026

Reference
—

Description
Advance written off – Yusuf Haddad (Left without notice)

Account	Debit	Credit
Salaries & Wages	SAR800.00	–
Employee Advances	–	SAR800.00

WHY

This is the only point at which an advance becomes a cost. Until now it was an asset you expected to recover; admitting it is gone turns it into a staff cost.

10 Period end

The entries that belong to the calendar rather than to a customer.

38 You accrue a cost whose bill has not arrived

posts to the ledger

THE EXAMPLE

The auditors have done the work but not invoiced. You accrue **SAR 4,000**.

HOW YOU ENTER IT

1. **Journal Entries** → **Manual Entry**.
2. Debit the expense, credit Accrued Expenses.
3. It will not save unless it balances.

IN ONE LINE

```
G&A 4,000
Accrued Expenses 4,000
```

WHAT IT POSTS

Journal Entry JE-0035

×

Date
31 Jul 2026

Reference
—

Description
Accrued audit fee

Account	Debit	Credit
General & Administrative	SAR4,000.00	–
Accrued Expenses	–	SAR4,000.00

WHY

The work was done this year, so the cost belongs to this year — waiting for the invoice would push it into the next one and flatter this one. The credit is a liability: a cost incurred but not yet billed.

39 A journal that posts itself every month

posts to the ledger

THE EXAMPLE

A **SAR 1,500** management charge, every month, without anyone remembering.

HOW YOU ENTER IT

1. **Recurring Journals → New.**
2. Define the lines once and set the frequency.
3. It posts when due, or you can post it early.

IN ONE LINE

```
G&A 1,500
Accrued Expenses 1,500
```

WHAT IT POSTS

Journal Entry JE-0036

×

Date
31 Jul 2026

Reference
REC

Description
Monthly management charge

Account	Debit	Credit
General & Administrative	SAR1,500.00	–
Accrued Expenses	–	SAR1,500.00

WHY

Identical to a manual entry in what it posts — the difference is that it happens whether or not anyone is thinking about it. Anything genuinely predictable belongs here rather than in a reminder.

40 A foreign-currency account is restated

posts to the ledger

THE EXAMPLE

You hold **USD 10,000**, recorded at 3.75 — SAR 37,500. At month end the rate is **3.80**, so it is worth SAR 38,000: a gain of **SAR 500**.

HOW YOU ENTER IT

1. **FX Revaluation**, enter the closing rate.
2. The screen shows the current and revalued base amounts.
3. Post.

IN ONE LINE

```
USD Account +500
Unrealised FX Gain 500
reversed the next day
```

WHAT IT POSTS

Journal Entry JE-0038

×

Date
27 Jul 2026

Reference
—

Description
FX Revaluation – Month-end revaluation at 3.80

Account	Debit	Credit
USD Account	SAR500.00	–
Unrealized FX Gain/(Loss)	–	SAR500.00

Journal Entry JE-0039

×

Date
28 Jul 2026

Reference
—

Description
FX Revaluation reversal – Month-end revaluation at 3.80

Account	Debit	Credit
USD Account	–	SAR500.00
Unrealized FX Gain/(Loss)	SAR500.00	–

WHY

The dollars did not change; their value in your books did. The gain is *unrealised* — you have not converted anything — so the system posts it and then **automatically reverses it the next day**. That is deliberate: the restatement is for the balance sheet on that date only, and leaving it in place would count the same movement twice when the money is eventually converted.

11 Every posting on one page

The whole book, condensed. Debits on the left, credits on the right.

#	TRANSACTION	DEBIT	CREDIT
1	The owner puts money into the business JE-0001	Main Bank Account 500,000.00	Owner's Capital 500,000.00
2	Someone asks to buy something	*no journal entry*	
3	A supplier quotes you a price	*no journal entry*	
4	You commit to buy — the purchase order	*no journal entry*	
5	The goods arrive — before the bill does JE-0002	Inventory 30,000.00	Goods Received Not Invoiced 30,000.00
6	The bill arrives for goods already received JE-0003	Goods Received Not Invoiced 30,000.00 Tax Receivable (Input) 4,500.00	Accounts Payable 34,500.00
7	You pay the supplier JE-0004	Accounts Payable 34,500.00	Main Bank Account 34,500.00
8	Freight is added to what the stock cost you JE-0005	Inventory 2,000.00	Main Bank Account 2,000.00
9	You send faulty goods back JE-0006	Accounts Payable 1,725.00	Purchase Returns 1,500.00 Tax Receivable (Input) 225.00
10	You quote a customer a price	*no journal entry*	
11	The customer confirms — the sales order	*no journal entry*	
12	The goods go out	*no journal entry*	
13	You invoice the customer JE-0007	Accounts Receivable 11,500.00	Sales Revenue 10,000.00 Tax Payable (Output) 1,500.00
13	You invoice the customer JE-0008	Cost of Goods Sold 6,400.00	Inventory 6,400.00
14	The customer pays JE-0009	Main Bank Account 11,500.00	Accounts Receivable 11,500.00
15	The customer returns two chairs JE-0010	Sales Returns & Allowances 1,000.00 Tax Payable (Output) 150.00	Accounts Receivable 1,150.00
16	A customer pays a deposit up front JE-0011	Main Bank Account 20,000.00	Customer Advances 20,000.00
17	A customer pays by post-dated cheque JE-0012	Cheques Under Collection 8,000.00	Accounts Receivable 8,000.00

18	You deposit it at the bank	*no journal entry*	
19	The cheque clears JE-0013	Main Bank Account 8,000.00	Cheques Under Collection 8,000.00
20	Stock is damaged and written off JE-0014	Inventory Adjustments 960.00	Inventory 960.00
21	Stock moves between your own warehouses	*no journal entry*	
22	You buy raw materials JE-0015	Raw Materials 20,000.00 Tax Receivable (Input) 3,000.00	Accounts Payable 23,000.00
23	You make 50 shelving units JE-0016	Work-in-Progress 8,000.00	Raw Materials 8,000.00
23	You make 50 shelving units JE-0017	Finished Goods 8,000.00	Work-in-Progress 8,000.00
24	You pay a bill that has no invoice JE-0018	Utilities 1,800.00	Main Bank Account 1,800.00
25	You top up the petty cash tin JE-0019	Cash on Hand 5,000.00	Main Bank Account 5,000.00
26	You pay a year of insurance up front JE-0020	Prepaid Expenses 24,000.00	Main Bank Account 24,000.00
27	One month of that insurance is used up JE-0021	General & Administrative 2,000.00	Prepaid Expenses 2,000.00
28	You register a lease	*no journal entry*	
29	You pay a month’s rent JE-0022	Rent Expense 10,000.00	Main Bank Account 10,000.00
30	An employee claims back what they spent JE-0023	General & Administrative 1,200.00	Employee Expense Claims 1,200.00
30	An employee claims back what they spent JE-0024	Employee Expense Claims 1,200.00	Main Bank Account 1,200.00
31	You buy a delivery van JE-0025	Fixed Assets – Cost 120,000.00	Main Bank Account 120,000.00
32	A month of depreciation is charged JE-0026	Depreciation Expense 1,000.00	Accumulated Depreciation 1,000.00
33	You sell an old printer for more than it is worth on paper JE-0029	Accumulated Depreciation 5,500.00 Main Bank Account 1,000.00	Fixed Assets – Cost 6,000.00 Gain on Asset Disposal 500.00
34	You lend an employee money against salary JE-0030	Employee Advances 3,000.00	Main Bank Account 3,000.00

35	You run payroll for the month JE-0031	Salaries & Wages 11,000.00 Employer Social Insurance (GOSI) 1,175.00	Salaries Payable 9,025.00 Social Security Payable 975.00 Employee Advances 1,000.00 Social Security Payable 1,175.00
36	You pay the staff JE-0032	Salaries Payable 9,025.00	Main Bank Account 9,025.00
37	An advance you will never get back JE-0033	Employee Advances 800.00	Main Bank Account 800.00
37	An advance you will never get back JE-0034	Salaries & Wages 800.00	Employee Advances 800.00
38	You accrue a cost whose bill has not arrived JE-0035	General & Administrative 4,000.00	Accrued Expenses 4,000.00
39	A journal that posts itself every month JE-0036	General & Administrative 1,500.00	Accrued Expenses 1,500.00
40	A foreign-currency account is restated JE-0038	USD Account 500.00	Unrealized FX Gain/(Loss) 500.00
40	A foreign-currency account is restated JE-0039	Unrealized FX Gain/(Loss) 500.00	USD Account 500.00